These Foreign Markets Are Crushing US Stocks | Jack & Max

⏱ **5-Minute Version:** Watch Key Excerpts

Source: The Monetary Matters Network (YouTube)

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Speaker Bios

> **Jack Farley** is co-host of The Monetary Matters Network. Former institutional investor focused on macro markets and cross-asset analysis.

> **Max** is co-founder of Fiscal AI and co-host of Other People's Money. Specializes in global equity market analysis and data-driven investment research.

Executive Summary

The "US exceptionalism" narrative crumbled in 2025. While the S&P 500 posted respectable +18% gains and absorbed record foreign capital inflows ($600-700B through Q3), it dramatically underperformed global markets. ACWI returned +22.4%, emerging markets surged +34%, and individual countries crushed US indexes: South Korea +95.3%, China +31%, Europe +35.6%, Japan +25.8%. Of 297 stocks >$5B market cap that doubled, China led with 81 companies versus US's 43. The US wasn't the only game in town—it was second-tier.

This performance divergence coincides with an unprecedented profit-labor decoupling. Corporate earnings soared while labor markets weakened, violating the traditional correlation where payroll growth drives profit growth. The mechanism: AI-driven productivity gains allow companies to expand margins without hiring. Interviewees cite examples from Levi's offshoring to LLM-enabled white-collar headcount freezes. The implication: 2026 could deliver recessionary employment readings alongside +15% profit growth—a regime never seen before.

Survey data shows 57% of investors fear AI bubble collapse as the top 2026 risk, yet only 9% rank US recession in their top concerns. This is backwards. The AI trade has procyclical fuel remaining (OpenAI raising $100B at $800B valuation signals capital availability), but tariff effects haven't fully transmitted through supply chains. The 17% effective tariff rate—down from liberation day's 40% threat—absorbed corporate margins without triggering inflation, but slow-motion margin compression could converge with labor weakness. Memory semiconductors (SK Hynix +300-400%) and precious metals streaming companies offer asymmetric exposure to both AI continuation and monetary debasement hedges. Underweight hyperscalers at these valuations—own semis and materials.

Listen or Skip?

Verdict: Listen

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★☆
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Global macro PMs, cross-asset allocators, investors overweight US equities

Skip if: Looking for single-stock deep dives or technical chart analysis

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Key Quotes

1. > *"US assets did extraordinarily well in 2025, but they underperformed many foreign markets. They underperformed the world both in terms of the stocks not going up by as much and also the dollar itself was a drag."*

2. > *"Corporate profits have been soaring while the labor market has been stagnating. You look at corporate profits, you think the labor market would be way stronger than it is. You look at how weak the labor market, you think corporate profits would be way lower than they are."*

3. > *"Are we going to live in a world in 2026 where the labor market has recessionary readings but corporate profits are up 15%? That's possible. Stock market can soar, profits can soar as the labor market is really really really weak."*

Top 3 Investable Ideas

Top 3 Investable Ideas:

1. **Rotate into ex-US equities** — ACWI (+22%), EM (+34%), Europe (+36%) all beat S&P. South Korea led at +95%, China had 81 stocks >$5B up 100%+. Valuations compressed less overseas.
2. **Memory semis over hyperscalers** — SK Hynix, Western Digital, Lam Research riding HBM shortage. These companies +300-400% in 2025, continuing in 2026. More levered to AI capex than software.
3. **Precious metal streamers, not miners** — Low-cost, high-margin exposure to gold/silver cycle. Survive 60% drawdowns unlike miners. Procyclical metals (silver supply inelastic, industrial demand from solar/AI).

Detailed Analysis

Performance Data Breakdown

Global Equity Returns (2025, total return): - ACWI: +22.4% - EM (MSEI): +34% - S&P 500: ~18% - NASDAQ: ~20% - Russell 2000: ~12.5%

Country Leaders: - South Korea: +95.3% (SK Hynix memory dominance) - Europe (incl UK): +35.6% - China (MCHI): +31% - Japan (EWJ): +25.8%

Country Laggards: - India (INDA): +2.7% (currency drag) - Saudi Arabia (KSA): -8.2%

Stock Count Analysis: - 297 stocks >$5B market cap up >100% - China: 81 companies - US: 43 companies - South Korea: significant (third place)

The Profit-Labor Divergence

Traditional correlation: Strong labor market → higher incomes → more spending → corporate profit growth.

2025 Reality: Labor market weakening for 12-18 months while corporate profits soared. Dan Krauss research (referenced from November interview) documented this unprecedented divergence.

Mechanisms: - AI/LLM enabling white-collar productivity without headcount - Companies freezing hiring rather than firing (net effect similar) - Manufacturing offshoring analog (Levi's example: profits up, US jobs gone) - "BS jobs" elimination (Catrini Research 2026 trade idea)

Implications: - 2026 could show recession-level unemployment with strong earnings - Traditional recession indicators may false-signal - Corporate America capturing productivity gains, not sharing with labor

Sector Performance (S&P 500, 2025)

Leaders: 1. Technology (leader) 2. Communications 3. Industrials

Laggards: 11. Consumer Staples (worst) 10. Real Estate 9. Energy

Surprises: - Utilities outperformed expectations (IPPs like Vistra, Constellation selling to data centers) - Consumer Discretionary weak (+7.4%) despite Amazon weight - Materials strong (gold/silver/copper miners)

The AI Trade: Sustainability Analysis

Bull Case Indicators: - OpenAI raising $100B at $800B valuation (procyclical capital still flowing) - Memory shortage persisting (HBM for AI training) - SK Hynix, Western Digital, Lam Research +300-400% and continuing - Data center ecosystem plays (printed circuit boards, adhesives) surging

Late-Cycle Warnings: - Quantum computing stocks mooning on zero revenue (speculation) - QMM Holdings: $6.8B market cap, declining revenue 5 years straight - Regenel Bioscience: top performer with investor lawsuits - Jack's assessment: "fifth or sixth inning" of boom-bust cycle

Positioning: - Jack: long semis (Lam Research), short quantum names (small size) - Recommends real companies over narrative plays - Memory companies vulnerable to shortage→glut cycle, but "that moment is not now"

Tariff Reality Check

Pre-Liberation Day Expectations: 30-40% tariffs → recession + inflation

Actual Outcome: - Effective tariff rate: 17% (Wells Fargo data) - Likely settling at 15% (vs 2% pre-Trump) - S&P +18%, China +31% despite trade war fears

Why Fears Didn't Materialize: - S&P 500 profits concentrated in services, not goods (Microsoft unaffected by tomato prices) - Corporate margins absorbed costs, not consumers (no inflation spike) - Importers (Walmart, Five Below, Toys R Us) performed better than expected - Apple got China exemption

Lingering Risks: - Tariff effects transmit slowly through supply chains - Small industrial suppliers taking margin compression (not visible in S&P) - 15% tariff still 7.5x higher than pre-2025 baseline

2026 Risk Survey (Deutsche Bank Poll)

Top Investor Fears: 1. Tech valuations plunge, AI enthusiasm wanes (57%) 2. New Fed chair pushes aggressive cuts, causes turmoil 3. Crisis in private capital/private markets 4. Bond yields rise more than expected … 10. US hard landing (9%)

Jack's Contrarian View: - Recession risk severely underpriced at #10 - Growth rate deceleration ongoing since late 2021 - Consumer spending, GDP, earnings growth rates declining (though still positive) - Real growth got "second wind" as inflation fell, but trend still down - Hard landing should be top 3 risk, not #10

Max's Addition: - Risk #6 (AI causes unemployment) encompasses hard landing - Labor displacement from LLMs could trigger recession even with strong profits

Precious Metals Thesis

Silver: - Procyclical: people buy coins/bars when price rising (self-reinforcing) - Industrial demand: solar, AI, electronics (some irreplaceable uses) - Supply inelastic (70% mined as byproduct of copper/zinc/gold) - Alex Campbell thesis: demand destruction doesn't start until $125 (vs ~$30 current)

Gold: - Outperformed US equities in 2025 - Streaming companies preferred over miners (lower cost, survive drawdowns)

Jack's Positioning: - Long precious metal streaming companies (high margin, low cost) - Thesis: these survive even 60% metal price drops - 20-year horizon favorable (unlike speculative miners)

Venezuela Special Situation

Catrini Research Trade: - "Geopolitical special situations" basket - Oil services companies (benefit from Venezuela production restart) - Venezuelan sovereign bonds (already performed well post-Maduro arrest)

Harley Bassman 2026 Trades: - Steepeners (buy 10Y puts, long front-end) - BDCs, closed-end funds, REITs (benefit from rate cuts due to front-end leverage) - Agency mortgage REITs (long fixed-rate products, short funding costs)

PM Positioning Takeaways

1. **Reduce US overweight** — Narrative of "US exceptionalism" is 2024 thinking. ACWI, EM, Europe all beat S&P in 2025 on total return basis after currency/dividend adjustment.
2. **Own memory semis, fade quantum** — HBM shortage has legs (SK Hynix, Lam, Western Digital). Quantum stocks are late-cycle garbage (no revenue, pure narrative). Rotate from fake to real.

3. **Monitor profit-labor divergence** — If labor market shows recession while profits stay strong, don't automatically sell equities. This is new regime enabled by AI productivity. Traditional recession playbook may not apply.
4. **Tariff effects still transmitting** — 17% effective rate hasn't fully hit margins. Small industrials absorbing pain, not S&P giants. Watch for slow-motion margin compression in 2026.
5. **Recession risk mispriced** — Only 9% of investors have hard landing in top 3 risks. Growth deceleration ongoing since 2021. This is the consensus blind spot.
6. **Streaming companies over miners** — Precious metals exposure via streamers (survive drawdowns) not miners (operational leverage kills them in busts). Franco-Nevada, Wheaton Precious Metals type names.
7. **Curve steepeners** — If Fed cuts and market rejects it, play front-end down/long-end up. Harley Bassman trade: benefit from cuts without bond vigilante risk.

Appendix: Fiscal AI

- Platform sponsor for Jack & Max content
- 15% discount via description link
- Strong international coverage (key for ex-US rotation thesis)
- Segments, KPIs from filings (non-GAAP data)
- AI-gathered data allows lower pricing vs Bloomberg/FactSet

Final Thought

The US bull market exists, but it's a second-tier participant in a global bull market. The ACWI beat the S&P, EM crushed both, and China—written off as uninvestable—produced 81 stocks that doubled versus US's 43. Meanwhile, the relationship between jobs and profits has broken. Companies are printing money while labor markets weaken, a regime enabled by AI that has never existed before. If you're positioned for 2024's playbook (long MAG7, short everything else, ignore rest of world), you're fighting last year's war. The alpha is in memory semis, ex-US equities, and precious metal streamers. The risk is a hard landing that 91% of investors aren't pricing.